

Banking Regulation & Policy Department
Bangladesh Bank
Head Office
Dhaka

BRPD Circular No. 12

Date: 26 April, 2003

All bank companies working in Bangladesh
excepting the new banks, specialised banks
and banks incorporated outside Bangladesh.

Dear Sir:

**Constitution of the Board of Directors and Fit and Proper
Test for appointment of Directors of a Bank Company.**

Responsibilities of running the affairs of a bank-company, like other companies, are entrusted to its board of directors. The responsibilities of the board of directors of a bank-company are more important than those of other companies; because in case of a bank-company it is essential to earn and maintain confidence of the depositors as its business is mainly run with the depositors' money. The board of directors shall also have to strive to protect interests of its depositors as well as of the shareholders. It is imperative to constitute the board of directors with competent and professionally skilled persons and limit the number of directors with a view to formulating policy-guidelines and supervising business activities of the bank efficiently as well as ensuring good and corporate governance in the bank management.

Bangladesh Bank deems it necessary to issue directives for compliance of the bank-company regarding constitution of the board of directors and fit and proper test for appointment of directors in the interest of depositors and for securing proper management of the bank-companies. Therefore, in exercise of the powers conferred by section 45(1) of the Bank Companies Act, 1991, the following restrictions have been imposed regarding constitution of the board of directors and fit and proper test criteria for consideration and compliance of the appointing authority (viz.- general meeting, board of directors etc.) regarding appointment or reappointment and filling up of casual vacancy of the offices of bank directors:

1. Constitution of the Board of Directors:-

- a) The board of directors of the bank-companies shall be constituted of maximum 13 (thirteen) directors. However, the directors of the banks, where the number of directors is more than this number, shall be allowed to complete their present tenure of office. This restriction shall apply to appointment/reappointment of the directors against retirement or filling casual vacancy subject to section 15 KaKa of the Bank Companies Act, 1991.
- b) Not more than one member of a family will become director of a bank. For this purpose family members shall include spouse, parents, children, brothers and sisters of the director and other persons dependent on him/her.

2. Fit and Proper Test:-

- a) The concerned person must have management/business or professional experience for at least 10 (ten) years;
- b) (S)he has not been convicted in any criminal offence or involved in any fraud/forgery, financial crime or other illegal activities;
- c) (S)he has not been subject to any adverse findings in any legal proceedings,
- d) (S)he has not been convicted in regard to contravention of rules, regulations or disciplines of the regulatory authorities relating to financial sector;
- e) (S)he has not been involved with a company/firm whose registration/license has been revoked or cancelled or which has gone into liquidation;

- f) Loans taken by him/her or allied concern from any bank or financial institution have not become defaulted;
- g) (S)he has not been adjudicated a bankrupt by a court;
- h) (S)he must be loyal to the decisions of the board of directors. However, in case of note of dissent, (s)he may record it in the minutes of the board meeting and/or bring it to the notice of Bangladesh Bank considering its merit.

3. A person, proposed as a candidate for the office of director, shall furnish along with the consent letter for the purpose of section 93 of the Companies Act, 1994 a declaration as per the attached format **(Annexure-A)** that (s)he is not disqualified to become a bank director in accordance with the above mentioned fit and proper test.

4. The declaration shall have to be signed by the concerned person (candidate) and if elected it shall have to be forwarded to Bangladesh Bank by the Chairman of the board of directors.

5. The above-mentioned restrictions for qualifications of bank directors shall be in addition to any related laws/regulations for the time being in force.

The chief executive of the bank shall apprise the shareholders, directors and chairman of the above-mentioned fit and proper test criteria for appointment of directors.

This circular shall take effect immediately.

Please acknowledge receipt.

Yours faithfully,

Sd/-
(Ahmed Ehteshamul Haider)
Deputy General Manager
Phone: 7120377

Declaration

I do hereby declare that I am eligible to become a director of bank-company as per the fit and proper test criteria issued by Bangladesh Bank vide BRPD Circular No. 12 dated 26 April 2003. I further declare that-

- a) I have not been convicted in any criminal offence or involved in any fraud / forgery, financial crime or other illegal activities;
- b) There is no adverse opinion / findings regarding me in any legal proceedings,
- c) I have not been convicted in regard to contravention of rules, regulations and disciplines of the regulatory authorities relating to financial sector;
- d) I have not been involved with a company/firm whose registration/license has been revoked or cancelled or which has gone into liquidation;
- e) There are no loans taken by me or my allied concern from any bank or financial institution that have become defaulted;
- f) I have not been adjudicated a bankrupt by a court;
- g) My spouse, parents, children, brothers and sisters or any other person dependent on me is not a director of this bank.

Dated:

Signature:

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Countersigned:

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Chairman, Board of Directors
..... Bank Ltd.